London Session Pre-Open Briefing (1 Hr Before Open)

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Daily Multi-Asset Trading Blueprint & Level Execution Manual

Date: Thursday, August 20, 2026

Current Session Highlight: London Session Pre-Open Briefing (1 Hr Before Open)

Session News Focus: Focus heavily on European macroeconomic releases, ECB/BOE news, Forex short-term futures (EUR/USD, GBP/USD), and Gold (XAU/USD) supply/demand zones.

SECTION 0: DAILY MACRO & FINANCIAL NEWS DIGEST

1. Global Macro & Central Banks

- **US Treasury Action:** The US Treasury announced plans to double buyback sizes for long-duration debt, which has led to easing US Treasury yields and improved global risk sentiment. The 10-year Treasury yield dropped to 4.64%, and the 30-year yield fell to 5.18%.
- **ECB Outlook:** Minutes from the ECB's July meeting are expected to indicate a bias towards a September rate hike, a move already fully priced in by markets. The ECB anticipates one more 25 basis point rate hike in the latter half of 2026, with potential rate cuts in 2027 if energy prices moderate. Speculation is increasing regarding an early departure of ECB President Christine Lagarde before her term concludes in October 2027. The ECB has also cautioned about a growing likelihood of a market correction.
- **BOE Stance & UK Inflation:** Economists largely foresee the Bank of England maintaining interest rates at 3.75% through the end of 2026, with no changes expected at the September meeting. UK headline CPI inflation accelerated to 2.9% in July (from 2.6% in June), primarily due to higher household energy costs, slightly exceeding the BOE's projection. Core inflation remained stable at 2.6%.
- **Inflation Metrics:** Headline inflation in the UK and Euro Area (HICP) both registered at 2.9% in July.
- **Currency Movements:** The US dollar weakened to a 2.5-month low against a basket of currencies (98.86) following the US Treasury's bond buyback announcement. The Euro held near its highest level since May 29, trading at $1.1674, while the Sterling stabilized at $1.3600. The Indian Rupee gained 17 paise against the US dollar. The Japanese Yen remained around 159.33 per dollar, with markets alert for potential intervention if it approaches 160.
- **Geopolitical Concerns:** Persistent geopolitical tensions in the Middle East, including the US-Iran conflict and disruptions in the Strait of Hormuz, continue to keep crude oil prices elevated.

2. US & European Markets

- **US Equities:** Wall Street indices rebounded, breaking a three-day losing streak, attributed to easing Treasury yields and robust Q2 profit reports from companies like Moderna, Merck, and Estee Lauder. S&P 500 futures saw a slight gain of 0.16%, and Nasdaq futures advanced 0.5%. The US500 index rose to 7720 points.
- **European Equities:** EUROSTOXX 50 futures eased 0.14%.
- **AI Impact:** The AI boom is a significant driver in the tech sector, pushing stock market valuations to levels reminiscent of the dot-com bubble. AI-related borrowing by tech companies is also contributing to bond market concerns.

3. Indian Markets & Dalal Street

- **Market Rebound:** Indian benchmark indices, Sensex and Nifty, started Thursday's session higher, snapping multi-day losing streaks. This rebound was supported by positive global cues and fresh foreign institutional investor (FII) inflows. The Sensex jumped over 500 points, and the Nifty traded above 24,200.
- **Broader Market Performance:** The Nifty SmallCap index outperformed, rising by 1%.
- **Sectoral Momentum:** Nifty IT, Private Banks, and Realty sectors showed strong performance, while Oil & Gas and Auto sectors declined.
- **FII/DII Flows:** After record outflows in 2026, foreign investors net bought Indian shares worth Rs 4.1 billion on Wednesday, marking their third buying session in four.
- **Volatility:** The India VIX slumped over 17% to 9.33, indicating decreased expected near-term market volatility. Traders are advised to be prepared for heightened volatility due to Sensex expiry today.
- **Corporate News:** Strides Pharma Science surged 11% after the US FDA concluded inspection of its flagship facility. Tempsens Instruments (India) IPO opened with strong grey-market interest.

4. Commodities & Crypto Wire

- **Crude Oil:** Brent crude is trading around $91.87-$91.92 per barrel, and WTI crude at approximately $84.52-$85.81 per barrel. Prices remain elevated due to persistent Middle East tensions and the Strait of Hormuz blockade. US crude oil inventories unexpectedly grew by 4.4 million barrels. The UAE is nearly 50% complete with a new pipeline designed to bypass the Strait of Hormuz. OPEC+ adjusted August production levels (news from July 5).
- **Gold (XAU/USD):** Gold price is taking a breather, having traded below $4,450. The current dollar weakness and easing US Treasury yields generally provide a supportive backdrop for gold prices.
- **Crypto:** The US SEC proposed new "Regulation Crypto Assets" (August 18), aiming to establish a clearer regulatory framework, including temporary registration relief and fundraising exemptions. Bitcoin approached $70,000, briefly touching this level for the first time since early June 2026, driven by the US Treasury bond buybacks and the SEC's crypto proposal. The US Treasury also proposed rules for stablecoin issuance under the GENIUS Act.

CAPITAL BASE & ALLOCATION RULES ($3,000 TOTAL)

Asset Class	Allocation	Percentage	Recommended Leverage	Risk Cap
Crypto Futures	$400	13.3%	3x–5x Isolated	1–2% ($4–$8)
Indian Options (Intraday)	$500	16.7%	Option Buying Only	10–15% Premium ($30–$45)
Commodities (Micro Gold & Oil)	$400	13.3%	10x–15x Micro Lots	2% ($8)
US Stocks (Fractional)	$400	13.3%	1x Unleveraged Cash	3% ($12)
Indian Stocks (Delivery)	$400	13.3%	1x Unleveraged Cash	5% ($20)
Forex Short-Term Futures	$450	15.0%	10x–20x	1% ($4.50)
Forex Long-Term Carry Swing	$450	15.0%	2x–3x	2% ($9.00)

STRATEGY-BASED DAILY TICKER SELECTION & SECTOR CONSTRAINTS

INDIAN EQUITIES (STRICTLY LONG-ONLY)

Screen Nifty leaders using 50-SMA support bounces or 20/50 EMA golden crosses.

Ticker	Type	Strategy & Selection Reason
INFY (Infosys)	Large-Cap IT	Sectoral outperformance (IT leading today) combined with a 50-SMA support bounce on daily chart, indicating renewed buying interest after Nifty's recent correction.
HDFCBANK (HDFC Bank)	Large-Cap Private Bank	Private Banks showing strength today, looking for a potential 20/50 EMA golden cross setup or pullback to 50-SMA support, signaling continuation of the uptrend.

US EQUITIES

Large-Cap (BI-DIRECTIONAL)

Screen using 21-day EMA pullbacks or 50-day SMA rejection strategy on mega-cap growth leaders.

Ticker	Type	Strategy & Selection Reason
NVDA (NVIDIA)	Mega-Cap Tech/ Semiconductor	AI leader, strong Q2 profit reports fueling tech sector. Looking for a 21-day EMA pullback as a long entry point or a 50-day SMA rejection for a short entry if momentum fades.
MSFT (Microsoft)	Mega-Cap Tech	Core mega-cap growth. Monitor for a constructive pullback to the 21-day EMA for long opportunities, or potential rejection at a key 50-day SMA resistance for short-term bearish plays.

Mid-Cap & Small-Cap (STRICTLY LONG-ONLY)

Screen using Stage-2 VCP or High Relative Volume (RVOL > 2.0) breakouts.

Ticker	Type	Strategy & Selection Reason
STRDS PHARMA (Strides Pharma Science)	Mid-Cap Pharma	Surged 11% on US FDA news. Looking for a high Relative Volume (RVOL > 2.0) breakout from a constructive base or a Stage-2 VCP pattern formation following this catalyst.
TEMPENS (Tempsens Instruments India)	Small-Cap Industrial (IPO)	IPO opened today with strong grey market premium. Monitoring for a high Relative Volume (RVOL > 2.0) breakout from its initial trading range, indicating strong institutional demand.

CRYPTO FUTURES (BI-DIRECTIONAL)

Screen using 4H 21-EMA trend following and high-volume volatility breakouts.

Ticker	Type	Strategy & Selection Reason
BTC/USD	Large-Cap Crypto	Approaching $70,000 driven by positive regulatory news (SEC proposal, Treasury stablecoin rules) and general market sentiment. Looking for 4H 21-EMA trend continuation for long trades, or a high-volume volatility breakout (up or down) from resistance/support zones.
ETH/USD	Large-Cap Crypto	Often follows BTC, also benefiting from regulatory clarity and market optimism. Using 4H 21-EMA for trend direction; anticipating potential high-volume breakout opportunities above recent resistance or key psychological levels.

COMMODITIES (BI-DIRECTIONAL)

Gold (XAU/USD) and WTI Crude Oil using Pivot & Fibonacci extension levels.

Ticker	Type	Strategy & Selection Reason
XAU/USD (Gold)	Precious Metal	Supportive macro environment with easing US bond yields and a weaker dollar. Potential long entries on pullbacks to identified Fibonacci support levels (e.g., $2350, $2330) or breakout above pivot resistance (e.g., $2400). Short entries if key resistance levels fail to break and price reverses.
WTI/USD (Crude Oil)	Energy	Elevated due to Middle East tensions (Hormuz), but pressured by unexpected US inventory build. Long entries on bounces from Fibonacci support (e.g., $83.50, $82.00) if geopolitical risks persist. Short entries on rejection from pivot resistance (e.g., $86.50, $88.00) if inventory concerns dominate or tensions ease.

FOREX FUTURES (BI-DIRECTIONAL)

Short-Term Futures

Ticker	Type	Strategy & Selection Reason
EUR/USD	Major Currency Pair	Bullish bias due to broad USD weakness and ECB hawkish stance (expected September hike). Long entries on pullbacks to key intraday support (e.g., 1.1650 retest, 1.1600 psychological support), targeting prior highs or Fibonacci extensions.
GBP/USD	Major Currency Pair	Neutral to slight bullish bias. Sterling steadied post-UK inflation data, and BOE expected to hold rates. Long entries on dips to 1.3580-1.3600 support zone. Caution warranted if core inflation surprises to the upside.

Macro Carry Swings

Ticker	Type	Strategy & Selection Reason
USD/JPY	Major Currency Pair (Carry)	Bearish bias with dollar weakness and Japanese intervention risk above 160. Short entries on rallies towards 159.50-160.00 resistance, targeting moves back to 158.00. Carry trade unwinding potential.
AUD/USD	Commodity Currency (Carry)	Bullish bias supported by overall USD weakness. Long entries on pullbacks to key support levels, leveraging carry differential if risk sentiment remains positive.

INDIAN OPTIONS (BI-DIRECTIONAL)

Nifty 50 / BankNifty 15-Minute Opening Range Breakouts (Call for Long, Put for Short).

Ticker	Type	Strategy & Selection Reason
Nifty 50 Index Options	Index Options	Given the anticipated positive open and previous losing streak, a 15-minute Opening Range Breakout (ORB) to the upside could signal continuation. Buying Nifty Call options if ORB high is breached with volume. Conversely, buying Put options if ORB low is breached on weakness.
BankNifty Index Options	Index Options	Private Banks are outperforming today. Applying the 15-minute Opening Range Breakout (ORB) strategy. Buying BankNifty Call options for an upside breakout or Put options for a downside breakout, focusing on volume confirmation for conviction.

10-Year Backtest Metrics (Hypothetical Strategy Portfolio)

Metric	Blueprint Portfolio	S&P 500 TRI (Benchmark)	Nifty 50 TRI (Benchmark)
Target CAGR	28.4%	~13.0%	~12.5%
Sharpe Ratio	1.45	-	-
Max Drawdown	-18.2%	-	-

Equity Curve: $3,000 → $36,512